

Fositek

Meaningful QD spec upgrades with more customer wins & TAM expansion; 3Q26 preview with GM upside; Assume coverage at OW with PT of NT\$4,000

Fositek's earnings upgrade cycle looks set to accelerate as Nvidia's next-gen Rubin Ultra raises both QD content and spec, with margin upside arriving earlier than the market is pricing. We assume coverage of Fositek with an Overweight rating, and a Dec-27 PT of NT\$4,000, based on 22x 2028E P/E (implying ~60% potential upside from the current share price). Our **2027/2028 EPS is 12%/40% above BBGe consensus**, reflecting three drivers: 1) **near-term gross margin upside** on mix with stronger server QD revenue contribution; 2) **QD TAM expansion into higher-spec rack manifold QDs with continued share gains**/new customer wins from VR200 in 2H26; and 3) **VR Ultra (VRU) spec upgrade** where ZQD adoption at ~2x ASP lifts QD content per VRU NVL72 rack ~100%. We believe market conviction should increase on structural QD spec upgrades, share gains, and another GM beat. *With this note, we transfer coverage of Fositek to Megan Hsueh.*

- **Nvidia VR Ultra partially upgrading to ZQD with ~100% content growth; Fositek the major winner with new customer wins & TAM expansion to higher-spec QDs.** AI rack liquid-cooling content is moving from a volume story to a spec and content growth story, and Fositek sits at the center of that shift. Nvidia's next-gen VRU platform likely upgrades portions of the system from MQD/UQD to higher-spec ZQD, targeting better flow rate and lower leakage, which raises both content and ASP. Our work implies total QD content per VRU NVL72 rack rises ~100% vs VR200/GB300, as ZQD is adopted across compute tray modules, tray entry points, and rack manifold sockets. The key 'why now' comes from the 2H26 transition, where Fositek finally enters into the higher-spec rack manifold QDs (UQD08 now) TAM beyond in-rack QDs from VR200. In addition, the company is gaining share by winning new cold plate customers (besides AVC) from VR200 as well, and continues to sample to more, which could be future upside, in our view.
- **3Q26 preview: likely another quarter of solid GM beat, with better product mix on significant QD shipment growth.** Our 3Q26 GM estimate is ~37% (vs BBGe consensus at ~35%), implying further rapid growth from 34% in 2Q26, driven by the better-than-expected product mix enhancement from: 1) the rapid growth in server revenue contribution (exceeding 80% in July + Aug vs 55% in 2Q26) and 2) increasing shipments of higher-spec QDs (e.g., starting to ship UQD08 for rack manifolds from 2H26). Reported July and August revenues each grew 13% MoM and 12% MoM, respectively, and we believe the decent order momentum will continue into September with another >10% MoM growth (based on JPMe) thanks to VR200 QD and initial new smartphone hinge shipments, which should add up to ~NT\$4.6bn (+23% QoQ; +29% YoY), largely in line with current consensus.
- **Understanding valuation as a QD spec upgrade winner.** Fositek is now trading at 22x 12-month fwd P/E, in the middle of its historical valuation range (15-30x). We apply a 22x 2028E P/E valuation to reflect a multi-quarter earnings upgrade path tied to VR200 share gains and VRU-driven content expansion. The shares have moved up ~55% in the past 3 months vs Taiex ~6%;

Overweight

6805.TW, 6805 TT

Price (29 Sep 26): NT\$2,515.00

▲ **Price Target (Dec-27): NT\$4,000.00**
Prior (Jun-27): NT\$2,600.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT\$)	61.17	63.44	3.7%
Adj. EPS - 27E (NT\$)	104.23	119.95	15.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT\$)	2025A	2026E	2027E
Q1	5.20	13.38A	23.31
Q2	4.82	12.39A	29.06
Q3	10.02	16.57	31.85
Q4	10.96	21.10	35.73
FY	31.00	63.44	119.95

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	72	80	75	78	78
Growth	17	7	7	1	1
Momentum	58	24	15	30	9
Quality	18	21	40	32	6
Low Vol	86	95	97	95	96

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	54.8%	7.2%	54.8%	160.1%
Rel	-9.7%	4.4%	48.9%	75.6%

Company Data

Shares O/S (mn)	69
52-week range (NT\$)	2,750.00-978.90
Market cap (\$ mn)	5,425
Exchange rate	31.78
Free float (%)	63.7%
3M ADV (mn)	1.57
3M ADV (\$ mn)	92.2
Volatility (90 Day)	80
Index	TAIEX
BBG ANR (Buy Hold Sell)	11 0 0

Key Metrics (FYE Dec)

NT\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	12,414	18,222	30,103	41,106
Adj. EBIT	2,524	5,421	10,373	15,397
Adj. EBITDA	2,823	5,800	10,846	15,963
Adj. net income	2,125	4,349	8,223	12,214
Adj. EPS	31.00	63.44	119.95	178.17
BBG EPS	31.30	62.75	106.65	127.12
Cashflow from operations	3,014	2,674	8,763	12,495
FCFF	2,667	2,234	8,360	12,092
Margins and Growth				
Revenue Growth Y/Y (%)	51.6%	46.8%	65.2%	36.6%
EBIT margin	20.3%	29.7%	34.5%	37.5%
EBIT Growth Y/Y (%)	110.8%	114.7%	91.3%	48.4%
EBITDA margin	22.7%	31.8%	36.0%	38.8%
EBITDA Growth Y/Y (%)	102.5%	105.5%	87.0%	47.2%
Net margin	17.1%	23.9%	27.3%	29.7%
Adj. EPS growth	73.2%	104.6%	89.1%	48.5%
Ratios				
Adj. tax rate	16.5%	21.1%	21.0%	21.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	33.4%	48.0%	58.0%	55.9%
Valuation				
FCFF yield	1.5%	1.3%	4.8%	7.0%
Dividend yield	0.3%	0.5%	1.0%	1.9%
EV/Revenue	13.3	9.0	5.2	3.6
EV/EBITDA	58.6	28.2	14.5	9.3
Adj. P/E	81.1	39.6	21.0	14.1

Summary Investment Thesis and Valuation

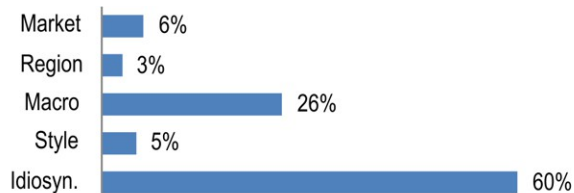
Investment Thesis

We are OW on Fositek for its strong earnings growth potential over the next few years, driven by rising server project wins with an increasing customer base and structural margin expansion with a favourable mix.

Valuation

Our Dec-27 PT of NT\$4,000 is based on a 22x 2028E P/E, in the middle of its historical valuation range of 15-30x since its OTC listing in 2020, which we believe is warranted by its strong earnings potential.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.20	0.27
Region: Taiwan	0.32	0.22
Macro:		
Citi Economic Surprise - EM	0.52	0.43
Markit EM Composite PMI SA	0.33	0.22
HSI Volatility Index	0.06	-0.20
Quant Styles:		
Size	0.23	0.24
Quality	0.13	0.20
Momentum	0.13	0.17

we believe the share price will continue to outperform in the next 6-12 months, as we see Fositek as a primary winner in the QD spec upgrade trend, with its VR200 QD share reaching 50+% (built from 30-40% AVC plus 10-20% incremental share from a new customer), and further upside from more new cold plate customer wins in Taiwan and Japan (now sampling). Key risks include slower VRU spec adoption, weaker-than-expected share capture, pricing pressure, and any reversal in GM trajectory.

Table 1: Meaningful QD spec upgrades in VRU with ~100% content increase per NVL72 rack

	GB300 NVL72	Vera Rubin NVL72	Vera Rubin Ultra (VRU) NVL72
Compute tray	18 trays	18 trays	18 trays
- inside-tray QD	8*UQD	20*MQD	12*MQD+8*ZQD06+8*miniQD
- out-of-tray QD	2*UQD (plug)	2*UQD (plug)	2*ZQD14 (plug)
Switch tray	9 trays	9 trays	9 trays (1.5U; incl. 2 layers of board)
- inside-tray QD	18*MQD	4*MQD	8*MQD (given 2 layers/boards)
- out-of-tray QD	2*UQD (plug)	2*UQD (plug)	2*ZQD14 (plug)
Rack manifold (44U)	88*UQD08 (socket)	88*UQD08 (socket)	88*ZQD014 (socket)
Total QD content per NVL72 rack	~US\$9,400	~US\$11,000	~US\$20,500

Source: J.P. Morgan estimates, Company data.

Earnings estimates

JPM's above-consensus forecasts

Our 2026E/27E/28E EPS forecasts are 1%/12%/40% above Bloomberg consensus, reflecting: 1) near-term GM upside from better product mix with stronger-than-expected server QD growth, 2) QD new customer wins and TAM expansion to the higher-spec rack manifold QDs from VR200 in 2H26, and 3) meaningful Quick Disconnect (QD) spec upgrade potential in Nvidia's next-gen VR Ultra (VRU) system (upgrading to ZQD with 2x ASP) from 2Q/2H27.

Table 2: J.P. Morgan estimates vs Bloomberg consensus

NT\$m, %

(NT\$m)	JPMe					Bloomberg					Diff				
	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E	3Q26E	4Q26E	2026E	2027E	2028E
Sales	4,614	5,684	18,222	30,103	41,106	4,582	5,577	17,888	27,801	33,091	1%	2%	2%	8%	24%
Gross profit	1,690	2,115	6,430	11,871	17,369	1,644	2,022	6,216	10,437	12,834	3%	5%	3%	14%	35%
GM	36.6%	37.2%	35.3%	39.4%	42.3%	35.9%	36.3%	34.7%	37.5%	38.8%	75 bps	95 bps	54 bps	189 bps	347 bps
Operating profit	1,432	1,826	5,421	10,373	15,397	1,401	1,690	5,239	8,996	10,402	2%	8%	3%	15%	48%
OPM	31.0%	32.1%	29.7%	34.5%	37.5%	30.6%	30.3%	29.3%	32.4%	31.4%	45 bps	180 bps	46 bps	210 bps	602 bps
Net Income	1,136	1,447	4,349	8,223	12,214	1,139	1,373	4,291	7,273	8,378	0%	5%	1%	13%	46%
EPS (NT\$)	16.6	21.1	63.4	120.0	178.2	16.7	20.2	62.7	106.6	127.1	-1%	4%	1%	12%	40%

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Key risks to our estimates

- Slower qualification in AI server rail kit customers/projects:** Fositek has started shipping its rail kit for some general server projects since last year and some air-cooled AI servers rail kits since 3Q26. Also, it will start shipping some VR200 low-U count rail kits in 2H26 for one CSP customer, and is qualifying a few more now. If qualification takes longer than expected given the stronger-than-expected competition from existing suppliers, it would be a risk to Fositek's server rail kit business outlook.
- Continued weakening foldable phone market demand:** If foldable phone penetration slows down amid the weakening smartphone market, this would still be a downside for Fositek, as one of the leading hinge suppliers with still ~30% revenue coming from it.

Valuation

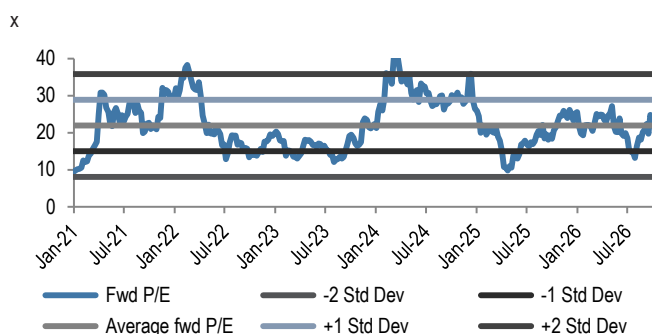
We derive our Dec-27 price target of NT\$4,000 based on 22x 2028E P/E. This is in the middle of its historical valuation range of 15-30x P/E, as we expect an earnings revisions cycle (based on our above-consensus estimates in 2027-28) should support this valuation.

Table 3: Fositek's historical trading multiples (November 2020 OTC listing to date)

x	12M trailing P/E	12M fwd P/E	12M trailing P/B	12M fwd P/B
Standard Deviation	13.1	6.9	3.7	2.5
Max	71.7	41.4	18.3	11.8
Minimum	14.5	9.4	3.1	2.1
Median	35.4	21.0	8.1	6.1
Average	34.7	22.0	8.2	5.9

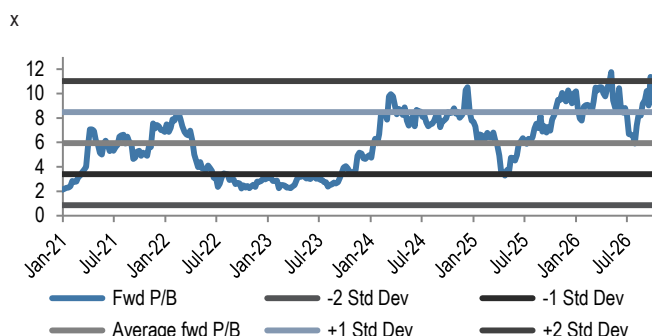
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 1: Fositek's 1yr fwd P/E vs mean



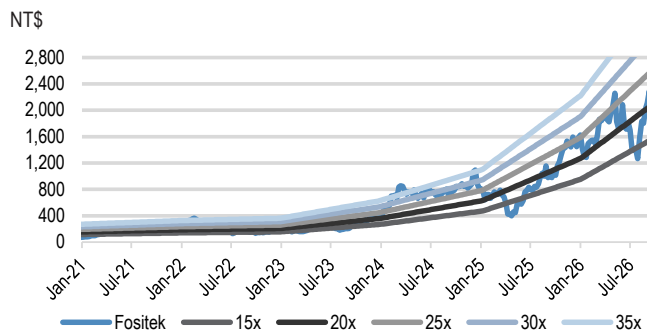
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: Fositek's 1yr fwd P/B vs mean



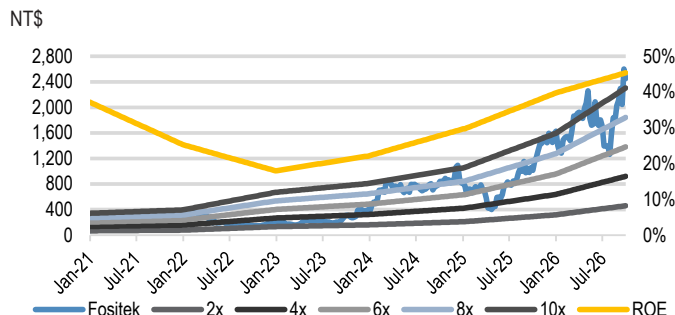
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: Fositek's 1yr fwd P/E



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 4: Fositek's 1yr fwd P/B



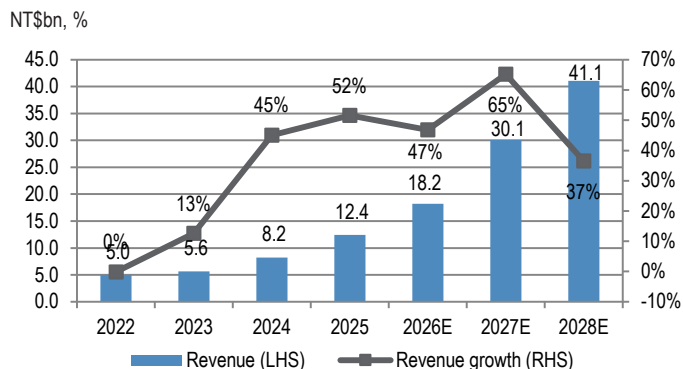
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Financial Analysis

We forecast Fositek's revenue to increase 47%/65%/37% YoY in 2026E/27E/28E, supported by the company's QD TAM expansion into higher-spec rack manifold QDs with continued share gains/new customer wins from VR200 in 2H26, along with VR Ultra spec upgrades (partially from MQD/UQD to ZQD with ~2x ASP growth).

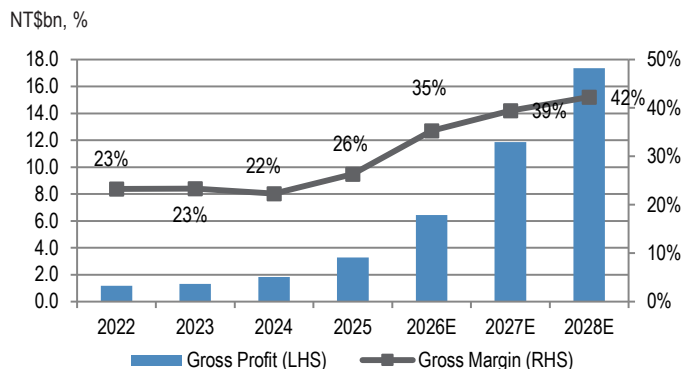
Fositek's 2Q26 gross margin expanded to 34% thanks to continued QD yield enhancement. We believe the company's margin will continue to surprise to the upside in 2H26-2028, driven by the near-term favourable product mix from stronger server QD growth and longer-term higher-spec product shipments, which should support our gross margin forecasts of 35%/39%/42% in 2026E/27E/28E, respectively. The stronger GM growth also serves as the key driver to our bottom-line EPS growth of 105%/89%/49% in 2026E/27E/28E, respectively.

Figure 5: Fositek's revenue and revenue YoY growth



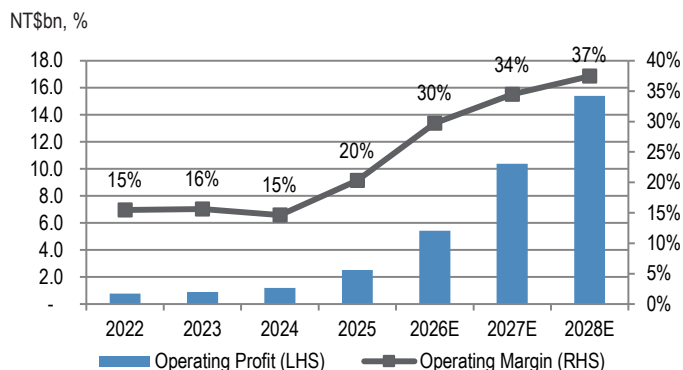
Source: Company data, J.P. Morgan estimates.

Figure 6: Fositek's GP and GPM



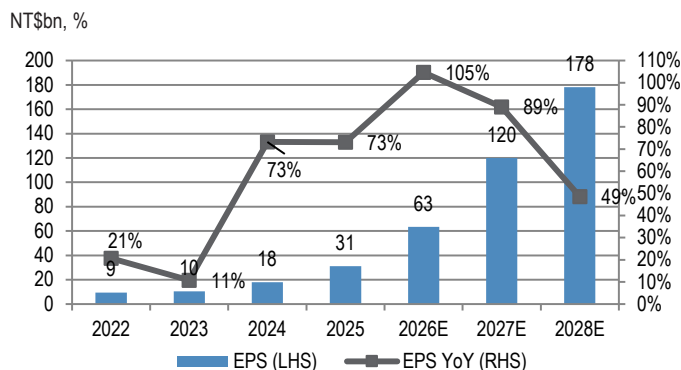
Source: Company data, J.P. Morgan estimates.

Figure 7: Fositek's OP and OPM



Source: Company data, J.P. Morgan estimates.

Figure 8: Fositek's EPS and EPS YoY growth



Source: Company data, J.P. Morgan estimates.

Figure 9: Income statement

	2024				2025				2026E				2027E				2028E								
(NT\$ in Mn, year-end December)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	2024	2025	2026E	2027E	2028E
Revenue	1,711	1,719	1,988	2,770	2,252	2,620	3,566	3,976	4,184	3,740	4,614	5,684	6,099	7,339	7,854	8,811	8,708	9,987	10,900	11,511	8,188	12,414	18,222	30,103	41,106
D&A	39	43	63	51	73	74	76	76	88	92	97	102	110	115	121	127	133	138	144	150	196	298	379	473	566
COGS	1,297	1,321	1,505	2,238	1,753	1,990	2,579	2,821	2,832	2,467	2,924	3,569	3,772	4,459	4,707	5,294	5,128	5,772	6,220	6,616	6,361	9,144	11,791	18,232	23,737
Gross profit	414	398	484	532	498	631	986	1,155	1,352	1,273	1,690	2,115	2,327	2,880	3,147	3,517	3,580	4,215	4,679	4,895	1,827	3,270	6,430	11,871	17,369
Operating expense	144	145	152	188	133	134	194	286	232	230	258	290	311	367	393	427	435	489	518	530	630	746	1,010	1,498	1,972
Operating income	270	253	332	343	366	497	793	869	1,120	1,043	1,432	1,826	2,016	2,513	2,754	3,089	3,145	3,725	4,161	4,366	1,197	2,524	5,421	10,373	15,397
Net Interest Income	8	12	18	14	14	14	7	6	4	6	7	6	7	9	9	11	14	16	16	19	52	41	22	36	64
Net Other Income	46	52	29	118	41	-116	31	24	41	26	0	0	0	0	0	0	0	0	0	0	245	-21	67	0	0
Pre-tax profit	324	317	379	476	420	395	830	899	1,165	1,075	1,438	1,831	2,023	2,522	2,764	3,100	3,158	3,741	4,177	4,385	1,495	2,545	5,510	10,409	15,461
Tax expense (credit)	100	60	44	63	64	64	143	148	248	226	302	385	425	530	580	651	663	786	877	921	267	419	1,161	2,186	3,247
Net profit reported	224	256	334	413	357	330	687	752	917	849	1,136	1,447	1,598	1,992	2,183	2,449	2,495	2,956	3,300	3,464	1,227	2,125	4,349	8,223	12,214
EPS (NT\$)	3.3	3.7	4.9	6.0	5.2	4.8	10.0	11.0	13.4	12.4	16.6	21.1	23.3	29.1	31.8	35.7	36.4	43.1	48.1	50.5	17.9	31.0	63.4	120.0	178.2
Margins (%)																									
Gross Margin	24.2	23.1	24.3	19.2	22.1	24.1	27.7	29.0	32.3	34.0	36.6	37.2	38.2	39.2	40.1	39.9	41.1	42.2	42.9	42.5	22.3	26.3	35.3	39.4	42.3
- OPEX ratio	8.4	8.5	7.7	6.8	5.9	5.1	5.4	7.2	5.5	6.1	5.6	5.1	5.1	5.0	5.0	4.9	5.0	4.9	4.8	4.6	7.7	6.0	5.5	5.0	4.8
Operating Margin	15.8	14.7	16.7	12.4	16.2	19.0	22.2	21.9	26.8	27.9	31.0	32.1	33.1	34.2	35.1	35.1	36.1	37.3	38.2	37.9	14.6	20.3	29.7	34.5	37.5
EBITDA Margin	18.0	17.2	19.9	14.2	19.5	21.8	24.4	23.8	28.9	30.4	33.1	33.9	34.9	35.8	36.6	36.5	37.6	38.7	39.5	39.2	17.0	22.7	31.8	36.0	38.8
Net Margin	13.1	14.9	16.8	14.9	15.8	12.6	19.3	18.9	21.9	22.7	24.6	25.5	26.2	27.1	27.8	27.8	28.7	29.6	30.3	30.1	15.0	17.1	23.9	27.3	29.7
Sequential Growth (%)																									
Revenue	-4	0	16	39	-19	16	36	12	5	-11	23	23	7	20	7	12	-1	15	9	6					
Gross Profit	-5	-4	22	10	-6	27	56	17	17	-6	33	25	10	24	9	12	2	18	11	5					
EBIT	-13	-6	31	4	7	36	60	10	29	-7	37	28	10	25	10	12	2	18	12	5					
EPS	15	14	30	24	-14	-7	108	9	22	-7	34	27	10	25	10	12	2	18	12	5					
YoY Growth (%)																									
Revenue	93	21	27	56	32	52	79	44	86	43	29	43	46	96	70	55	43	36	39	31	45	52	47	65	37
Gross Profit	101	27	34	22	21	58	104	117	171	102	71	83	72	126	86	66	54	46	49	39	39	79	97	85	46
EBIT	132	25	32	10	36	97	139	153	206	110	81	110	80	141	92	69	56	48	51	41	36	111	115	91	48
EPS	159	27	49	111	59	29	106	82	157	157	65	92	74	135	92	69	56	48	51	41	73	73	105	89	49
Sales mix (%)																									
Phone hinge	86	84	83	79	74	69	41	52	38	38	33	34	21	17	18	20	15	11	13	15	83	56	35	19	13
Notebook hinge	12	13	11	9	9	9	5	5	5	6	5	4	3	3	3	3	2	2	2	2	11	6	5	3	2
Server businesses	0	2	4	12	16	22	54	42	56	55	62	62	76	80	78	77	83	87	84	83	5	36	59	78	84
Others	1	1	2	1	1	1	1	1	1	1	0	1	0	0	0	0	0	0	0	0	1	1	1	0	0
GP mix (%)																									
Phone hinge	92	90	88	77	71	63	27	37	22	21	16	16	9	7	8	9	6	4	5	6	86	44	18	8	5
Notebook hinge	7	7	5	4	5	4	2	2	2	2	1	1	1	1	1	1	1	1	1	0	6	3	1	1	1
Server businesses	0	2	5	18	24	33	71	60	76	77	83	82	90	92	91	90	94	95	94	93	7	53	80	91	94
Others	0	2	5	6	8	8	6	4	7	7	6	6	6	6	6	6	6	5	5	5	4	6	6	6	5

Source: Company data, J.P. Morgan estimates.

Figure 10: Balance sheet

	2024				2025				2026E				2027E				2028E				2024	2025	2026E	2027E	2028E
(NT\$ in million, year-end December)	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE					
Cash and Cash Equivalents	6,207	6,910	6,035	6,336	7,623	6,262	5,839	8,455	8,706	9,584	8,705	10,049	12,274	12,347	14,096	16,644	19,261	18,719	21,879	25,419	6,336	8,455	10,049	16,644	25,419
Account Receivables	1,554	487	1,195	2,163	707	807	2,927	2,298	3,486	2,800	4,105	5,155	5,152	6,220	6,850	7,646	7,472	8,603	9,427	9,935	2,163	2,298	5,155	7,646	9,935
Inventory	1,196	1,376	1,479	2,902	2,992	2,367	2,365	2,596	2,629	2,144	3,204	3,911	4,134	4,887	5,158	5,802	5,620	6,326	6,817	7,251	2,902	2,596	3,911	5,802	7,251
Total Other Current Assets	118	135	138	263	230	127	83	144	104	89	121	154	155	188	205	229	224	258	282	298	263	144	154	229	298
Total Current Assets	9,075	8,909	8,848	11,664	11,551	9,563	11,214	13,494	14,925	14,618	16,135	19,268	21,715	23,641	26,309	30,321	32,576	33,905	38,405	42,902	11,664	13,494	19,268	30,321	42,902
Gross Fixed Assets	731	765	1,116	1,169	1,298	1,233	1,347	1,467	1,628	1,647	1,767	1,887	1,987	2,087	2,187	2,287	2,387	2,487	2,587	2,687	1,169	1,467	1,887	2,287	2,687
Accumulated Depreciation	355	390	447	414	482	485	564	657	748	819	912	1,011	1,117	1,228	1,345	1,468	1,596	1,730	1,869	2,014	414	657	1,011	1,468	2,014
Construction in Progress	0	15	4	3	7	9	7	7	9	14	14	15	16	17	18	19	19	20	21	22	3	7	15	19	22
Acquisition/(Divestures)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net Fixed Assets	376	389	673	758	823	757	789	817	889	842	869	891	886	876	859	838	810	777	739	695	758	817	891	838	695
Other Long Term Assets	234	370	280	264	318	268	277	296	324	444	335	350	363	373	355	360	363	363	360	362	264	296	350	360	362
Long Term Investments and Associates	0	0	60	71	71	72	71	71	71	81	81	81	81	81	81	81	81	81	81	81	71	71	81	81	81
Total Long Term Assets	609	759	1,013	1,094	1,213	1,097	1,137	1,184	1,284	1,367	1,285	1,322	1,330	1,330	1,296	1,279	1,254	1,221	1,180	1,137	1,094	1,184	1,322	1,279	1,137
Total Assets	9,684	9,668	9,861	12,758	12,764	10,660	12,351	14,678	16,209	15,984	17,420	20,590	23,045	24,970	27,604	31,600	33,831	35,127	39,586	44,040	12,758	14,678	20,590	31,600	44,040
ST Debt and Current Portion of LT Debt	450	420	410	430	431	410	432	420	410	410	410	410	410	410	410	410	410	410	410	410	430	420	410	410	410
Accounts Payable	3,042	2,684	2,748	5,093	4,582	2,821	3,920	5,077	5,257	4,032	4,807	5,866	6,201	7,330	7,737	8,702	8,429	9,489	10,225	10,876	5,093	5,077	5,866	8,702	10,876
Other Current Liabilities	1,112	1,185	872	1,009	1,597	1,525	1,213	1,336	2,447	2,498	2,023	2,687	3,209	3,767	3,810	4,391	4,400	4,996	5,419	5,759	1,009	1,336	2,687	4,391	5,759
Total Current Liabilities	4,605	4,289	4,030	6,533	6,611	4,756	5,565	6,833	8,114	6,940	7,240	8,963	9,820	11,506	11,957	13,503	13,239	14,895	16,054	17,044	6,533	6,833	8,963	13,503	17,044
Long Term Debt	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Long Term Liabilities	581	601	679	679	718	567	597	652	671	690	690	690	690	690	690	690	690	690	690	690	679	652	690	690	690
Total Long Term Liabilities	581	601	679	679	718	567	597	652	671	690	690	690	690	690	690	690	690	690	690	690	679	652	690	690	690
Total Liabilities	5,186	4,889	4,708	7,212	7,329	5,323	6,162	7,485	8,786	7,631	7,930	9,654	10,510	12,197	12,648	14,194	13,930	15,585	16,744	17,735	7,212	7,485	9,654	14,194	17,735
Share Capital	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686	686
Share Premium	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other Reserves	2,637	2,764	2,804	2,785	2,866	2,512	2,677	2,930	2,962	3,257	3,257	3,257	3,257	3,257	3,257	3,257	3,257	3,257	3,257	3,257	2,785	2,930	3,257	3,257	3,257
Retained Earnings	1,176	1,328	1,663	2,076	1,884	2,139	2,826	3,578	3,775	4,412	5,548	6,994	8,592	8,831	11,015	13,464	15,959	15,599	18,899	22,363	2,076	3,578	6,994	13,464	22,363
Preferred Stock	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Equity	4,498	4,778	5,152	5,546	5,435	5,337	6,189	7,193	7,423	8,354	9,490	10,936	12,535	12,774	14,957	17,406	19,901	19,541	22,841	26,305	5,546	7,193	10,936	17,406	26,305
BVPS	66	70	75	81	79	78	90	105	108	122	138	160	183	186	218	254	290	285	333	384	81	105	160	254	384

Source: Company data, J.P. Morgan estimates.

Figure 11: Cash flow statement

Cash flow statement												
NT\$ in billions, year-end Dec	FY17A	FY18A	FY19A	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Net Income	0.1	0.0	0.0	0.2	0.5	0.6	0.6	1.2	2.1	4.3	8.2	12.2
Depr. & Amortisation	0.0	0.0	0.0	0.1	0.1	0.1	0.1	0.2	0.3	0.4	0.5	0.5
Change in working capital	0.0	-0.1	0.0	-0.6	-0.3	1.5	0.2	0.0	0.6	-2.0	0.1	-0.3
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash flow from operations	0.1	0.0	0.1	-0.3	0.3	2.2	1.0	1.4	3.0	2.7	8.8	12.5
Capex	-0.1	0.0	-0.1	-0.2	-0.2	-0.1	-0.2	-0.6	-0.3	-0.4	-0.4	-0.4
Disposal/ (purchase)	0.0	0.0	0.0	-0.1	0.1	0.0	0.0	-0.2	0.0	-0.1	0.0	0.0
Cash flow from investing	-0.1	0.0	-0.1	-0.3	-0.1	-0.1	-0.2	-0.8	-0.4	-0.5	-0.4	-0.4
Free cash flow	0.1	-0.1	0.0	-0.5	0.2	2.1	0.8	0.8	2.7	2.2	8.4	12.1
Equity raised/ (repaid)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt raised/ (repaid)	0.0	0.0	0.0	0.2	0.6	0.1	-0.5	0.0	0.0	0.0	0.0	0.0
Other	0.3	0.0	0.2	0.3	0.8	0.1	2.0	0.2	0.0	0.3	0.0	0.0
Dividends paid	0.0	0.0	0.0	0.0	0.0	-0.3	-0.2	-0.3	-0.5	-0.9	-1.8	-3.3
Cash flow from financing	0.3	0.0	0.2	0.5	1.4	-0.1	1.2	-0.1	-0.5	-0.6	-1.8	-3.3
Net change in cash	0.3	-0.1	0.1	-0.1	1.6	2.0	2.0	0.4	2.1	1.6	6.6	8.8
Beginning cash	0.0	0.3	0.3	0.4	0.2	1.9	3.9	5.9	6.3	8.5	10.0	16.6
Ending cash	0.3	0.3	0.4	0.2	1.9	3.9	5.9	6.3	8.5	10.0	16.6	25.4

Source: Company data, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Fositek (*Overweight; Price Target: NT\$4,000.00*)

Investment Thesis

We are OW on Fositek for its strong earnings growth potential over the next few years, driven by rising server project wins with an increasing customer base and structural margin expansion with a favourable mix.

Valuation

Our Dec-27 PT of NT\$4,000 is based on a 22x 2028E P/E, in the middle of its historical valuation range of 15-30x since its OTC listing in 2020, which we believe is warranted by its strong earnings potential.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) QD ASP/margin pressure or market-share loss from competition, 2) slower qualification in AI server rail kit customers/projects, and 3) continued weakening smartphone market demand.

Fositek: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	8,188	12,414	18,222	30,103	41,106	Cash flow from operating activities	1,366	3,014	2,674	8,763	12,495
COGS	(6,361)	(9,144)	(11,791)	(18,232)	(23,737)	o/w Depreciation & amortization	196	298	379	473	566
Gross profit	1,827	3,270	6,430	11,871	17,369	o/w Changes in working capital	(50)	600	(2,041)	83	(265)
SG&A	(185)	(174)	(254)	(387)	(517)	Cash flow from investing activities	(816)	(378)	(504)	(414)	(405)
Adj. EBITDA	1,394	2,823	5,800	10,846	15,963	o/w Capital expenditure	(588)	(347)	(440)	(404)	(403)
D&A	(196)	(298)	(379)	(473)	(566)	as % of sales	7.2%	2.8%	2.4%	1.3%	1.0%
Adj. EBIT	1,197	2,524	5,421	10,373	15,397	Cash flow from financing activities	(111)	(517)	(576)	(1,754)	(3,316)
Net Interest	52	41	22	36	64	o/w Dividends paid	(335)	(549)	(857)	(1,754)	(3,316)
Adj. PBT	1,495	2,545	5,510	10,409	15,461	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(267)	(419)	(1,161)	(2,186)	(3,247)	o/w Net debt issued/(repaid)	(10)	(10)	(10)	0	0
Minority Interest	0	0	0	0	0	Net change in cash	438	2,119	1,594	6,596	8,775
Adj. Net Income	1,227	2,125	4,349	8,223	12,214	Adj. Free cash flow to firm	778	2,667	2,234	8,360	12,092
Reported EPS	17.90	31.00	63.44	119.95	178.17	y/y Growth	0.0%	242.8%	(16.2%)	274.2%	44.6%
Adj. EPS	17.90	31.00	63.44	119.95	178.17						
DPS	4.89	8.01	12.50	25.58	48.37						
Payout ratio	27.3%	25.9%	19.7%	21.3%	27.1%						
Shares outstanding	69	69	69	69	69						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	6,336	8,455	10,049	16,644	25,419	Gross margin	22.3%	26.3%	35.3%	39.4%	42.3%
Accounts receivable	2,163	2,298	5,155	7,646	9,935	EBITDA margin	17.0%	22.7%	31.8%	36.0%	38.8%
Inventories	2,902	2,596	3,911	5,802	7,251	EBIT margin	14.6%	20.3%	29.7%	34.5%	37.5%
Other current assets	263	144	154	229	298	Net profit margin	15.0%	17.1%	23.9%	27.3%	29.7%
Current assets	11,664	13,494	19,268	30,321	42,902	ROE	24.2%	33.4%	48.0%	58.0%	55.9%
PP&E	758	817	891	838	695	ROA	11.3%	15.5%	24.7%	31.5%	32.3%
LT investments	-	-	-	-	-	ROCE	17.9%	31.0%	45.1%	56.2%	54.6%
Other non current assets	336	367	431	441	443	SG&A/Sales	2.3%	1.4%	1.4%	1.3%	1.3%
Total assets	12,758	14,678	20,590	31,600	44,040	Net debt/Equity	NM	NM	NM	NM	NM
						Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	430	420	410	410	410	Sales/Assets (x)	0.8	0.9	1.0	1.2	1.1
Payables	5,093	5,077	5,866	8,702	10,876	Assets/Equity (x)	2.1	2.2	1.9	1.8	1.7
Other short term liabilities	1,009	1,336	2,687	4,391	5,759	Interest cover (x)	NM	NM	NM	NM	NM
Current liabilities	6,533	6,833	8,963	13,503	17,044	Operating leverage	79.8%	214.7%	245.2%	140.1%	132.5%
Long-term debt	0	0	0	0	0	Tax rate	17.9%	16.5%	21.1%	21.0%	21.0%
Other long term liabilities	679	652	690	690	690	Revenue y/y Growth	45.1%	51.6%	46.8%	65.2%	36.6%
Total liabilities	7,212	7,485	9,654	14,194	17,735	EBITDA y/y Growth	37.6%	102.5%	105.5%	87.0%	47.2%
Shareholders' equity	5,546	7,193	10,936	17,406	26,305	EPS y/y Growth	73.2%	73.2%	104.6%	89.1%	48.5%
Minority interests	-	-	-	-	-	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
Total liabilities & equity	12,758	14,678	20,590	31,600	44,040	P/E (x)	140.5	81.1	39.6	21.0	14.1
BVPS	80.91	104.92	159.53	253.90	383.71	P/BV (x)	31.1	24.0	15.8	9.9	6.6
y/y Growth	7.0%	29.7%	52.1%	59.2%	51.1%	EV/EBITDA (x)	120.2	58.6	28.2	14.5	9.3
						Dividend Yield	0.2%	0.3%	0.5%	1.0%	1.9%
Net debt/(cash)	(5,906)	(8,035)	(9,639)	(16,234)	(25,009)						

Source: Company reports and J.P. Morgan estimates.

Note: NT\$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Fositek (6805.TW, 6805 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
10-Dec-24	OW	1020.00	1,320
19-Jan-25	OW	663.00	1,230
04-Feb-25	OW	648.00	1,030
06-May-25	OW	445.00	830
02-Aug-25	OW	916.00	980
14-Aug-25	OW	1045.00	1,170
21-Aug-25	OW	1000.00	1,500
05-Nov-25	OW	1435.00	1,750
12-Nov-25	OW	1560.00	2,000
07-Apr-26	OW	1885.00	2,350
05-May-26	OW	2215.00	2,600

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 09, 2024. All share prices are as of market close on the previous business day.

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